



Reading the economy: indicators, cycles, regimes

How a market digests macro data, and why the economic cycle drives major asset rotations.

GDP, EXPENDITURE APPROACH

$GDP = C + I + G + (X - M)$ — consumption, investment, government spending, net exports

MACRO INDICATORS

- Leading (PMI, consumer confidence): anticipate the cycle.
- Coincident (GDP, employment): describe the current state of the economy.
- Lagging (inflation, unemployment): confirm a trend already in place.

ECONOMIC CYCLE

- 4 phases: expansion, slowdown, recession, recovery.
- Each phase favors different asset classes.
- The cycle is never perfectly symmetric nor predictable in duration.

ECONOMIC REGIMES

- Read on 2 axes: growth (high/low) and inflation (high/low).
- 4 quadrants that drive asset allocation (equities, bonds, commodities, cash).
- Regimes last from quarters to several years.

MONETARY POLICY

- Policy rates: central banks' main lever to steer inflation.
- Quantitative easing/tightening: adjusts liquidity via the central bank's balance sheet.
- Markets react as much to expectations as to the decisions themselves.

Who uses what?

CENTRAL BANKS

Steer policy rates based on coincident and lagging indicators.

MACRO STRATEGISTS

Position portfolios according to the cycle phase and the current regime.

MULTI-ASSET MANAGERS

Adjust equity/bond/commodity allocation based on the growth/inflation regime.

ECONOMISTS

Build scenarios and forecasts from leading indicators.

KEY TAKEAWAYS

1. Leading indicators announce, coincident ones confirm, lagging ones validate — confusing them completely changes your reading of the cycle.
2. The growth/inflation regime often matters more than the cycle alone when choosing between equities, bonds and commodities.
3. Markets price monetary policy expectations well before the central bank's actual decision.



Comparison table

CYCLE PHASE	GROWTH	INFLATION	FAVORED ASSETS
Expansion	Accelerating	Moderate	Equities, credit
Slowdown	Decelerating	High	Cash, commodities
Recession	Negative	Falling	Government bonds
Recovery	Accelerating	Low	Cyclical equities

Real-world examples

2008 CRISIS

Abrupt shift from expansion to recession: credit collapse, flight to quality into government bonds.

POST-COVID RECOVERY

V-shaped recovery fueled by massive monetary and fiscal policy, followed by an unexpected inflation spike.

2013 TAPER TANTRUM

The mere announcement of a slowdown in the Fed's quantitative easing was enough to trigger a sharp rise in long-term rates.

2022 HIKING CYCLE

High and persistent inflation forced central banks into a rapid rate-hiking cycle, hurting equities and bonds simultaneously.

Quick glossary

PMI

Purchasing Managers' Index, a key leading indicator of manufacturing/services activity.

INVERTED YIELD CURVE

Short-term rates above long-term rates, a historical warning signal for a coming recession.

OUTPUT GAP

Gap between actual and potential GDP of an economy.

STAGFLATION

Rare combination of weak growth and high inflation.

POLICY RATE

Rate set by the central bank, the reference for the entire cost of credit in the economy.

FLIGHT TO QUALITY

Investor shift toward the safest assets during periods of stress.

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